

Professorship of Corporate Law

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Business Law

Warranty Rights I

Summer term 2025



Warranty Rights I

(1) Revision questions lecture

(2) Case 1a)

- Material defect
- Transfer of risk

(3) Case 1b)

- Wrong advertisement as a defect
-

Agency – Scheme Overview

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Case Question:

Can B demand payment from P?

Purchase Agreement (§ 433 II BGB)

- Dol of P himself (-)
- Dol of A on behalf of P
 - Effective agency? (§ 164 BGB)
- If (-), purchase agreement (-)
- If (+), continue with Dol of B

Principal
(P)

§

Third party (B)

Agent
(A)

Principal
(P)

§

Third party (B)

Agent
(A)

Case Question:

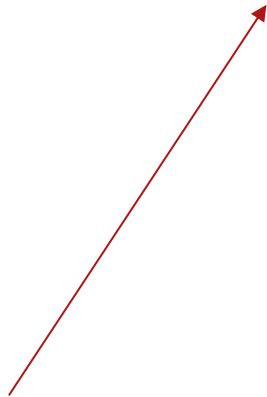
Did A effectively represent P?

Requirements of § 164 BGB (effective agency only)

Principal

Agent
(A)

Third party (B)



Case Question:

Can B demand payment from A?

- I. Purchase Agreement (§ 433 II BGB)
 - Dol of the agent aimed at conclusion of a purchase agreement between himself and the third party
 - **(-)** because the agent told the third party that he will conclude a contract on behalf of the principal
- II. Liability of an unauthorised agent (§ 179 I BGB)

When are warranty rights applicable?

- Duties (§ 241 I BGB) in the case of a purchase agreement § 433 BGB:

Buyer's breach of duty		Seller's breach of duty	
No payment, § 433 II Alt. 1 BGB	No acceptance of delivery, § 433 II Alt. 2 BGB	No delivery of good, § 433 I 1 BGB	Delivery of defective good, § 433 I 2 BGB

Revision questions – Warranty I

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When are warranty rights applicable?

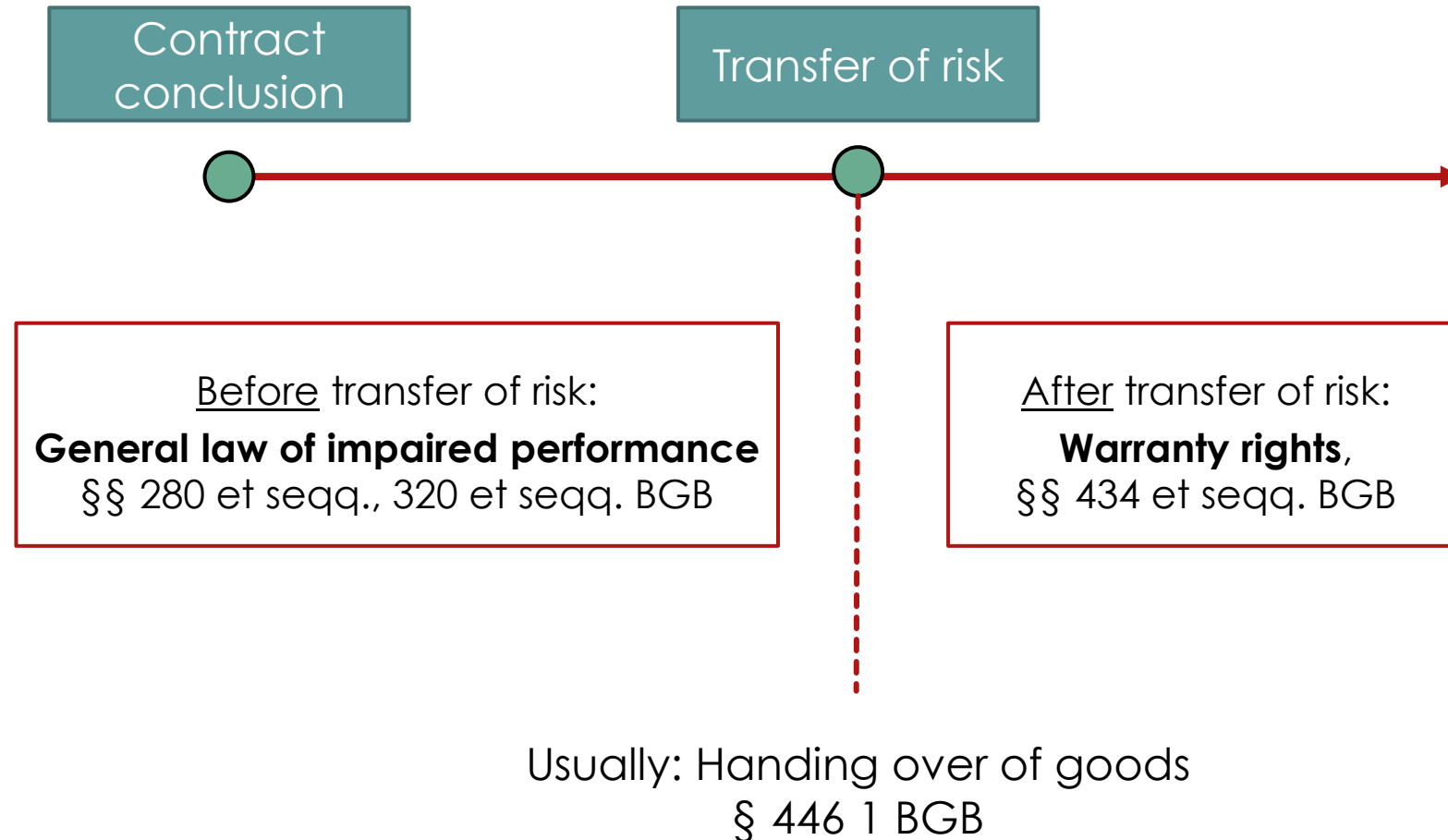
- Duties (§ 241 I BGB) in the case of a purchase agreement § 433 BGB:

Buyer's breach of duty		Seller's breach of duty	
No payment, § 433 II Alt. 1 BGB	No acceptance of delivery, § 433 II Alt. 2 BGB	No delivery of good, § 433 I 1 BGB	Delivery of defective good, § 433 I 2 BGB
General rights §§ 280 et seqq., 320 et seqq. BGB (damages and revocation)			Warranty rights, §§ 434 – 445 BGB

Revision questions – Warranty I

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When are warranty rights applicable?



In order to determine which rules apply check if risk has been already transferred!

Revision questions – Warranty I

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What kinds of defects are there?

Material defects
(§ 434 BGB)

Legal defects
(§ 435 BGB)

Revision questions – Warranty I

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What kinds of material defects are there?

Material defect (I)

=

Defect according to II - V

+

Upon the passing of the risk (I)

Non-conformity with
Subjective requirements (II)

or

Non-conformity with
Objective requirements (III)

or

Non-conformity with
Assembly requirements (IV)

Agreed quality
(§ 434 II 1 No. 1 BGB)

Customary use
(§ 434 III 1 No. 1 BGB)

Carried out properly
(§ 434 IV 1 No. 1 BGB)

Intended use under the contract
(§ 434 II 1 No. 2 BGB)

Usual quality in things of the same kind
(§ 434 III 1 No. 2 BGB)

Carried out improperly,
but not due to improper installation
or defective instructions
(§ 434 IV 1 No. 2 BGB)

Agreed accessories
and agreed instructions
(§ 434 II 1 No. 3 BGB)

Quality of sample or specimen
(§ 434 III 1 No. 3 BGB)

Accessories and instructions
(§ 434 III 1 No. 4 BGB)

or

Supply of different thing (V)

Revision questions – Warranty I

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What kinds of material defects are there?

Material defect (I)

=

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Customary use
(§ 434 III 1 No. 1 BGB)

Carried out properly
(§ 434 IV 1 No. 1 BGB)

Intended use under the contract
(§ 434 II 1 No. 2 BGB)

e.g.
defect

Usual quality in things of the same kind
(§ 434 III 1 No. 2 BGB)

Carried out improperly,
but not due to improper installation
or defective instructions
(§ 434 IV 1 No. 2 BGB)

Agreed accessories
and agreed instructions
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Accessories and instructions
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or

Supply of different thing (V)

Revision questions – Warranty I

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May warranty rights be excluded? If so, how?

Contractual exclusion

- Individual agreement
- Standard business terms

Restrictions

- § 444 BGB
- B2C: **§ 476 BGB** & § 309 Nr. 8b) BGB

Statutory exclusion

- § 442 BGB
- B2B: § 377 HGB

(1) B2C
(2) agreement before notice that covering the defect
(3) disadvantage for consumer?
= § 476 BGB: Agreement is invalid

If condition 476 is met, we do not need to review the standard business terms!!

What is the relationship between cure, revocation and reduction?

§ 437 BGB

Rights of buyer in the case of defects

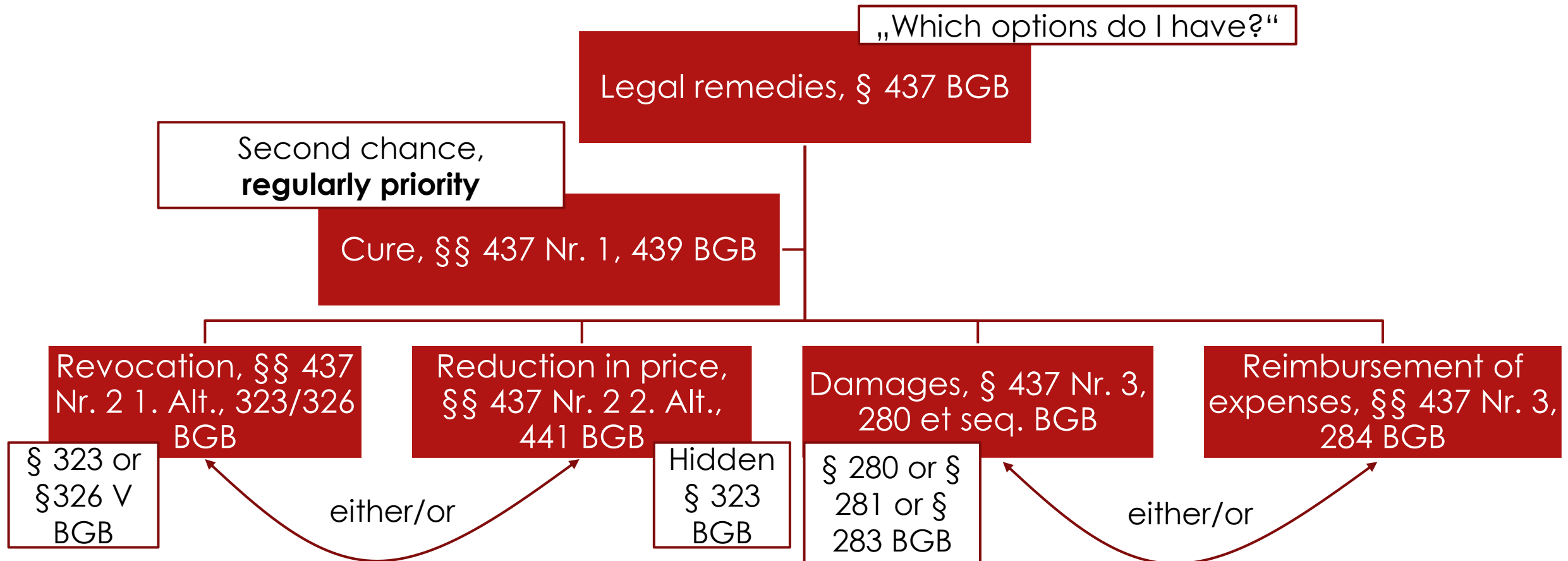
If the thing is defective, the buyer may, provided the requirements of the following provisions are met and unless otherwise specified,

1. under § 439, demand cure,
2. revoke the agreement under §§ 440, 323 and 326 (5) **or** reduce the purchase price under § 441, **and**
3. under §§ 440, 280, 281, 283 and 311a, demand damages, **or** under § 284, demand reimbursement of futile expenditure.

Revision questions – Warranty I

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What is the relationship between cure, revocation and reduction?



Scheme, Claim Basis 437 + (legal remedies)

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1. Valid purchase agreement, § 433 BGB



2. Defect of the good + at transfer of risk, § 434 BGB

Non-conformity with
Subjective requirements (II)

or

Non-conformity with
Objective requirements (III)

or

Non-conformity with
Assembly requirements (IV)



3. No exclusion



4. Legal remedies, § 437 BGB

(Chance to) cure then revocation, reduction, damages, reimbursement

Case 1a) – Facts

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Olivia (O) is the owner and operator of an electronics store. Customer Christoph (C) is looking for new headphones that he can use at the gym. So employee Elaine (E) sells C a high-priced model for 300€ (objective value of 200€). E hands C the headphones in the original packaging with a charger and the relevant instructions.

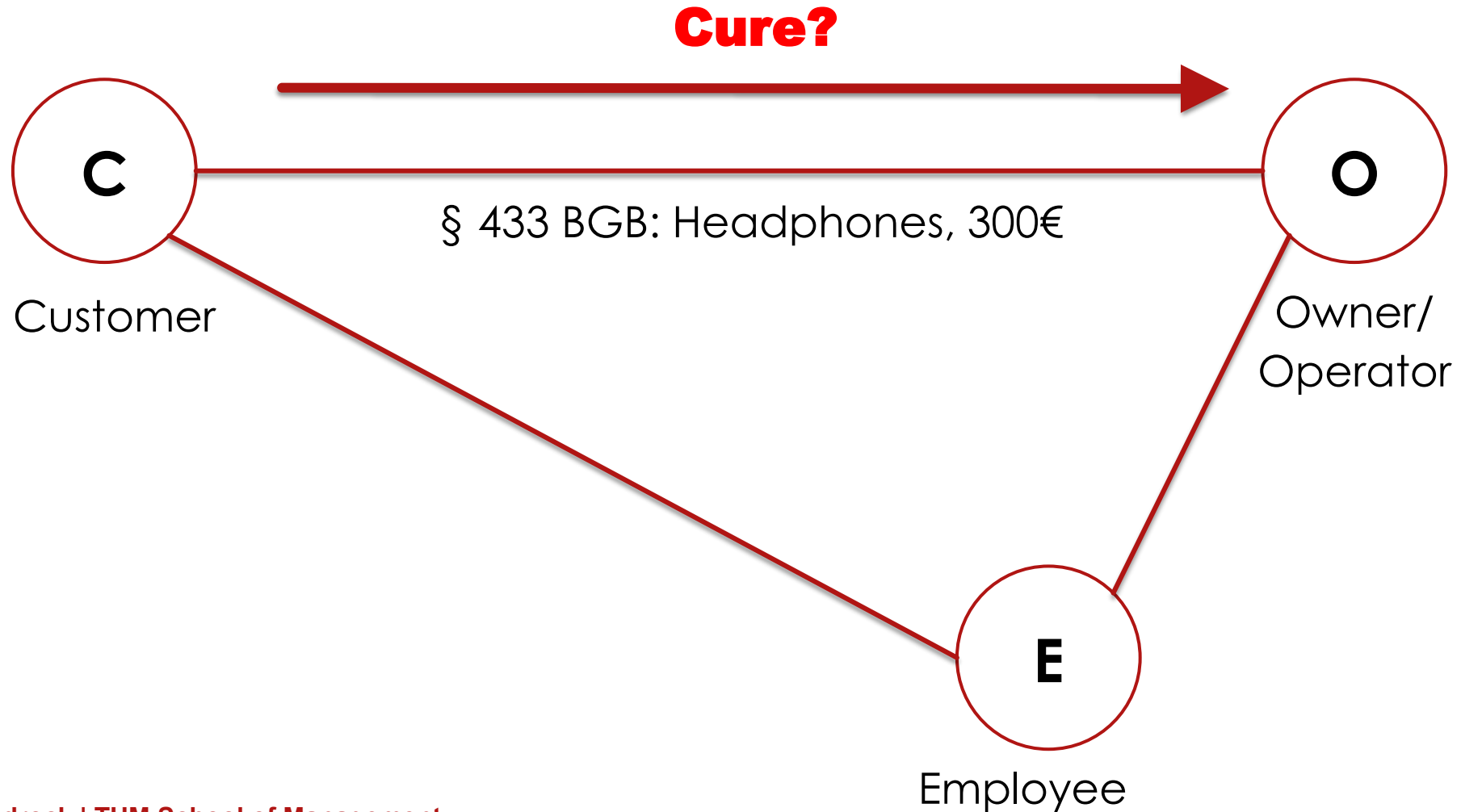
At home, C misplaces the headphones before unpacking them and only finds them ten months later. When C is finally able to use the headphones, he notices that the active noise cancelling does not work. After talking to his friends, who both own similar headphone models in the same price category, C is sure that his headphones are not up to standard.

The next morning, C turns to O and asks her for new headphones with functioning active noise cancelling. O admits that active noise cancelling is standard today and should be working. However, O blames the problem on C's use and claims that C complains to her much too late.

Question 1a): Can C demand cure (in form of re-delivery of the headphones)?

Case 1a) – Sketch

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Case 1a) – Solution

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A. Claim C → O for cure, §§ 437 No.1, 439 I BGB

C could have a claim against O for cure in form of the re-delivery of the headphones according to §§ 437 No. 1, 439 I BGB.

I. Purchase agreement, § 433 BGB

= Two matching Dol (Offer and acceptance §§ 145 et seqq. BGB)

1. Dol by C (+)

2. Dol by O

a) Dol by O herself (-)

- O did not interact with C

Case 1a) – Solution

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b) Dol by E with effects for O (+)

aa) Own Dol by E, § 164 I 1 BGB (+)

bb) Principle of publicity, § 164 I 1 BGB (+)

cc) Power of representation, § 164 I 1 BGB (+)

c) Interim result

Effective agency (+)

Dol by E with effects for O (+)

Purchase agreement (+)

Case 1a) – Solution

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II. Material defect, § 434 BGB

Non-conformity with
Subjective requirements (II)

or

Non-conformity with
Objective requirements (III)

or

Non-conformity with
Assembly requirements (IV)

1. Non-conformity with subjective requirements, § 434 II BGB

a) Agreed quality, § 434 II 1 No. 1 BGB (-)

= Refers to a quality outside of the normal quality

- No evident special agreement between C and O
- No further discussion about a special quality
- C takes the headphones like they are

Agreed quality
(§ 434 II 1 No. 1 BGB)

Intended use under the contract
(§ 434 II 1 No. 2 BGB)

Agreed accessories
and agreed instructions
(§ 434 II 1 No. 3 BGB)

Case 1a) – Solution

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b) Intended use, § 434 II 1 No. 2 BGB (-)

= Refers to a use outside of the normal use

- No further discussion between them about a special use

c) Supplied with agreed accessories and agreed instructions, § 434 II 2 No. 3 BGB (-)

= Refers to accessories and instructions outside of the normal

- No further discussion between them about special accessories or instructions

d) Interim result:

Non-conformity with subjective requirements (-)

Agreed quality
(§ 434 II 1 No. 1 BGB)

Intended use under the contract
(§ 434 II 1 No. 2 BGB)

Agreed accessories
and agreed instructions
(§ 434 II 1 No. 3 BGB)

Case 1a) – Solution

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2. Non-conformity with objective requirements, § 434 III BGB

a) Customary use, § 434 III 1 No. 1 BGB (-)

- Music can be listened with the headphones

b) Usual quality in things of the same kind, § 434 III 1 No. 2 BGB (+)

→ Taking into account the nature of the thing, § 434 III 1 No. 2 a)

- Other comparable headphones of the same price category have a working active noise cancelling
- Headphones of C don't correspond with that standard

c) Interim result:

Non-conformity with objective requirements (+)

Customary use
(§ 434 III 1 No. 1 BGB)

Usual quality in things of the same kind
(§ 434 III 1 No. 2 BGB)

Quality of sample or specimen
(§ 434 III 1 No. 3 BGB)

Accessories and instructions
(§ 434 III 1 No. 4 BGB)

III. Upon the passing of the risk, § 434 I BGB

1. Passing of the risk, § 446 1 BGB

§ 446 BGB

Passing of risk and of charges

¹The risk of accidental destruction and accidental deterioration passes to the buyer upon delivery of the thing sold. ²From the time of delivery the emoluments of the thing accrue to the buyer and he bears the charges on it. ³If the buyer is in default of acceptance of delivery, this is equivalent to delivery.

- The transfer of risk occurred at the moment when E handed over the headphones to C
- Unclear, if good was already defective

2. Shifting the burden of proof, § 477 I 1 BGB

→ Presumption that the good was already defective at the time of the passing of risk

§ 477 BGB Shifting the burden of proof

(1) ¹If, within one year after the date of the passing of risk, the condition of the good deviates from the requirements of § 434 or § 475b, it is presumed that the good was already defective at the time of the passing of risk, unless this presumption is incompatible with the nature of the good or the defective condition. [...]

a. Special features of sale of consumer goods, § 474 I 1 BGB (+)

= Sales of consumer goods are contracts by which a consumer buys a good from a trader

Case 1a) – Solution

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aa. C = Consumer, § 13 BGB (+)

= any natural person who enters into a legal transaction for purposes which are predominantly neither commercial nor self-employed

- C buys the headphones to use them in the gym, so for private use

bb. O = Trader, § 14 I BGB (+)

= natural or legal person or a partnership with legal personality who or which, when entering into a legal transaction, acts in exercise of his or its trade, business or profession

- C concluded the purchase agreement with O, the owner and operator of the electronics store
- The sale of headphones is part of the ordinary course of business

Case 1a) – Solution

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cc. Headphones = Good, § 241a I BGB (+)

= movable things that are not being sold by way of an execution of judgment or otherwise by authority of law

- Headphones can be carried away
- C bought them in an electronics store

dd. Interim result

Special features of sale of consumer goods, § 474 I 1 BGB (+)

Applicability of § 477 BGB (+)

Case 1a) – Solution

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b. Defect, § 434 BGB (+)

c. Within one year after the date of the passing of risk, § 477 I 1 BGB (+)

- Defect was noticeable ten months after the handover of the headphones

d. Presumption is not incompatible with the nature of the good or the defective condition, § 477 I 1 BGB (-)

- No signs that the defect has arisen after the transfer of risk

e. Interim result:

Presumption that defect already existed upon passing of the risk (+)

IV. No exclusion of warranty rights

1. Contractual exclusion (-)

- No individual agreement between C and O
- No standard business terms

2. Statutory exclusion (-)

- No indications for a statutory exclusion

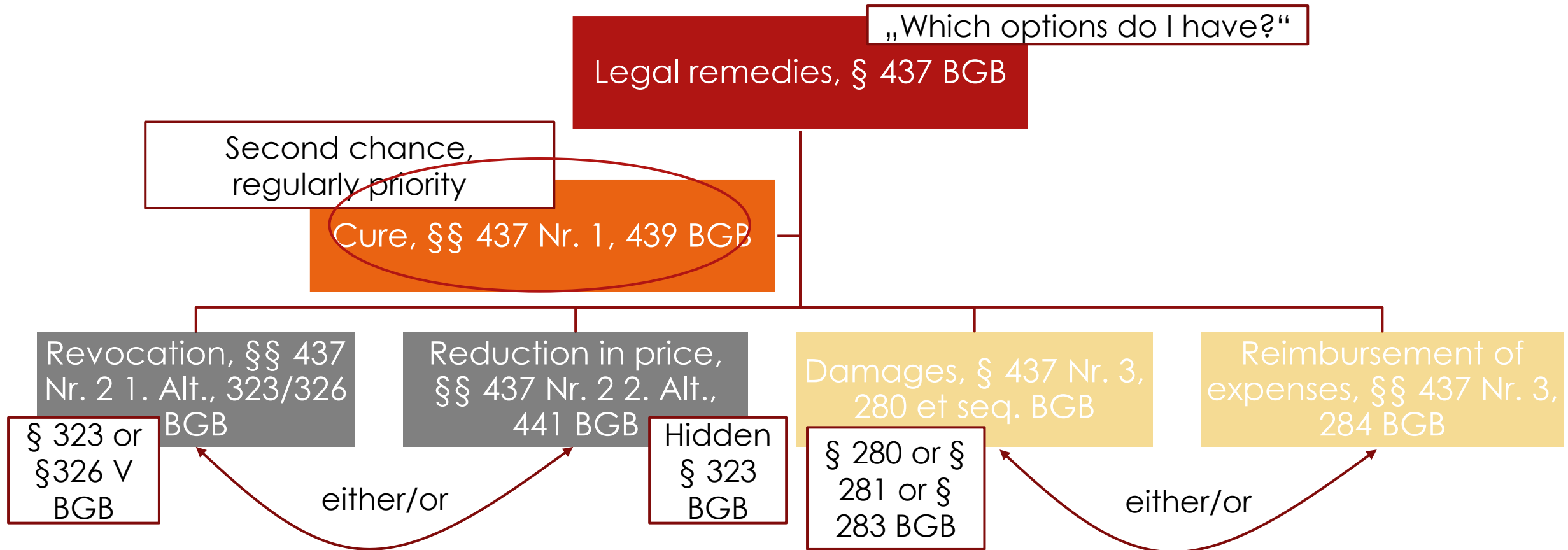
3. Interim result: No exclusion of warranty right (+)

Case 1a) – Solution

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V. Rights of buyer in case of defect, § 437 BGB ()

- C has requested the delivery of a new pair of headphones



VI. Scope of cure, § 439 BGB

- C explicitly asked for the re-delivery of a new thing, § 439 I Alt. 2 BGB

§ 439 BGB Cure

- (1) As cure the buyer may, at his choice, demand that the defect is remedied or a thing free of defects is supplied.
- (2) The seller must bear all expenses required for the purpose of cure, in particular transport, workmen's travel, work and materials costs.

VII. Result

C has a claim against O for cure in form of the re-delivery of the headphones pursuant to §§ 437 No. 1, 439 I BGB against return of the old headphones according to §§ 439 VI, 346 I BGB.

Case 1b) – Facts

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This time, the usual active noise cancelling works. Nevertheless, C is disappointed. The manufacturer's extensive advertising, which C saw in O's store, claims that the headphones have twice as good active noise cancelling as comparable models. What O, E and C didn't know is, that in some headphones (like in the one of C) this function does not work due to an improper production. The manufacturing company planned to inform the sellers about this malfunctioning in the coming weeks.

Question b): Can C demand cure (in form of re-delivery of the headphones)?

A. Claim C → O for cure, §§ 437 No.1, 439 I BGB

C could have a claim against O for cure in form of the re-delivery of the headphones pursuant to §§ 437 No. 1, 439 I BGB.

I. Purchase agreement, § 433 BGB (+)

= Two matching Dol (Offer and acceptance §§ 145 et seqq. BGB)

Case 1b) – Solution

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II. Material defect, § 434 BGB

Non-conformity with
Subjective requirements (II)

or

Non-conformity with
Objective requirements (III)

or

Non-conformity with
Assembly requirements (IV)

1. Non-conformity with subjective requirements, § 434 II BGB (-)

- No agreements between C and O on specifics

2. Non-conformity with objective requirements, § 434 III BGB

a) Customary use, § 434 III 1 No. 1 BGB (-)

- Music can be listened with the headphones

Case 1b) – Solution

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b) Usual quality in things of the same kind, § 434 III 1 No. 2 BGB

aa) Taking into account the nature of the thing, a) (-)

- The usual active noise cancelling works

bb) Taking into account any public statement made by the trader, or other persons in previous links of the chain of transactions, or on their behalf, particularly in advertising or on labelling, § 434 III 1 No. 2 b)

(1) Criteria of § 434 III 1 No. 2 b) BGB (+)

- Extensive advertising by manufacturer for an active noise cancelling twice as good

(2) Exception, § 434 III 3 BGB

§ 434 III 3 BGB

The **seller is not bound by the public statements** referred to in sentence 1 no. 2 letter b, if the seller was not aware of the statement and also had no duty to be aware of it, or at the time when the contract was entered into it had been corrected in the same manner or in a manner of equal value, or it could not influence the decision to purchase the thing.

- **Opt. 1** (-): O knew about the advertisement since it was displayed in her store
- **Opt. 2** (-): Manufacturing company wanted to inform the sellers about the malfunctioning in the coming weeks
- **Opt. 3** (-): C noticed the advertisement in the store

(3) Interim result:

Exception (-)

Relevant public statement (+)

Usual quality in things of the same kind, § 434 III 1 No. 2 BGB (+)

Non-conformity with objective requirements, § 434 III BGB (+)

Material defect, § 434 BGB (+)

III. Upon the passing of the risk, § 434 I BGB

→ Passing of the risk, § 446 1 BGB (+)

- Active noise cancelling was never as good as advertised

Case 1b) – Solution

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IV. No exclusion of warranty rights (+)

V. Rights of buyer in case of defect, § 437 BGB

VI. Scope of cure, § 439 BGB

VII. Return obligation, §§ 439 VI, 346 I BGB

VIII. Result

C has a claim against O for cure in form of the re-delivery of the headphones pursuant to §§ 437 No. 1, 439 I BGB against return of the old headphones according to §§ 439 VI, 346 I BGB.

Thank you for your attention!

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